AI-Driven Surveillance Pricing: An Emerging Information Policy Challenge

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Introduction

Information policy focuses on how information is created, collected, used, shared, and regulated within society. As technology has become more sophisticated, policymakers have faced new challenges involving privacy, data collection, and the use of artificial intelligence. One of the most recent issues gaining national attention is AI-driven surveillance pricing.

Surveillance pricing occurs when companies use consumer data, artificial intelligence, and automated decision-making systems to determine prices for individual customers. Companies can use information collected through loyalty programs, websites, mobile applications, purchasing histories, and other digital tools to predict what consumers may be willing to pay. This practice has generated concerns about privacy, fairness, transparency, and consumer protection (U.S. Senate Committee on the Judiciary, 2026).

Recent congressional hearings and proposed legislation demonstrate that surveillance pricing is no longer simply a business practice. It has become a major information policy debate that may shape future regulations on personal data and artificial intelligence.

Legislative Tracing Exercise

For the legislative tracing exercise, I selected the Stop Price Gouging in Grocery Stores Act of 2026 (S. 3892). Senator Ben Ray Luján introduced the bill to address concerns about unfair pricing practices in grocery stores. According to the bill's sponsors, the legislation would prevent corporations from using new technologies to manipulate prices and increase costs for consumers (Luján & Merkley, 2026).

The legislation was proposed in response to growing concerns that advances in artificial intelligence and data collection technologies could be used to raise prices based on information gathered about consumers. After its introduction, the bill was referred to the Senate Committee on Commerce, Science, and Transportation for consideration (Stop Price Gouging in Grocery Stores Act of 2026, 2026).

The proposed legislation is available through Congress.gov and official statements from the bill's sponsors. Public awareness also increased after the Senate Judiciary Committee hearing, *Your Data, Their Profit: The Consumer Cost of AI Surveillance Pricing*, which examined how AI systems may influence prices consumers pay (U.S. Senate Committee on the Judiciary, 2026).

What I found most interesting is how the legislation connects privacy with economics; most privacy discussions focus on protecting personal information from theft or misuse. Surveillance pricing demonstrates that personal information can also directly affect how much consumers pay for goods and services. As a future cybersecurity professional, I find this issue especially

relevant because it highlights the importance of protecting data and ensuring organizations use it ethically.

Description of the Information Policy Event

This paper examines the growing debate over AI-driven surveillance pricing. The issue gained significant attention in 2026 after congressional hearings, state-level legislative proposals, and public concerns regarding the use of digital pricing technologies.

Surveillance pricing refers to using personal data and automated systems to determine prices for specific consumers. Some advocates view this practice as a natural extension of modern business analytics. Others believe it gives businesses unfair advantages and weakens consumer privacy protections (IAPP, 2026).

The issue became more visible as retailers expanded digital shelf labels. Walmart, for example, announced plans to deploy digital shelf labels nationwide (Retail Brew, 2026). Labor organizations and privacy advocates argued that these technologies could enable rapid price changes when combined with AI systems and consumer data collection. Walmart has publicly denied using digital shelf labels for personalized pricing and has stated that it does not use the technology to collect customer information for that purpose (Modern Retail, 2026; The Shelby Report, 2026).

The controversy has prompted lawmakers, regulators, and consumer advocacy groups to examine whether current privacy and consumer protection laws are sufficient to address emerging technologies.

Core Issue or Problem

The core issue is whether businesses should be allowed to use consumer data to determine individualized prices without meaningful transparency or consent.

Most consumers assume that prices displayed in stores are the same for everyone. Surveillance pricing challenges that assumption. Companies may possess large amounts of information about customers, including purchasing habits, device usage, geographic location, and online behavior. Artificial intelligence can analyze this information and identify consumers who may be willing to pay more than others for the same product.

This creates several concerns. Consumers often do not know what information is being collected about them. They may not understand how that information is being used. They usually have limited ability to challenge algorithmic decisions. These factors create significant transparency and accountability problems.

Another concern involves fairness. If different consumers receive different prices based on personal characteristics or behavioral profiles, certain groups could be disadvantaged. Such practices may also erode trust in businesses and emerging technologies.

Policy and Legislative Implications

The surveillance pricing debate has important policy implications. Existing privacy laws were created before many of today's AI technologies became commonplace. As a result, policymakers are now considering whether additional protections are needed.

At the federal level, the Stop Price Gouging in Grocery Stores Act of 2026 represents one attempt to address the issue. The legislation would limit corporations' ability to use certain technologies for pricing decisions that could harm consumers (Luján & Merkley, 2026).

Congress has also held hearings to examine the broader policy implications of surveillance pricing. During these discussions, lawmakers expressed concerns about transparency, consumer rights, and the growing influence of artificial intelligence in market transactions (U.S. Senate Committee on the Judiciary, 2026).

State governments have also begun taking action. California's AB 2564 addresses surveillance pricing and would restrict certain practices involving personal data and individualized price setting (California Legislature, 2026).

Privacy law also plays an important role in this debate. In *Carpenter v. United States* (2018), the Supreme Court recognized that some forms of personal information maintained by third parties still deserve privacy protections. Although the case involved cellphone location data rather than consumer pricing, it demonstrates a broader recognition that personal data requires meaningful safeguards.

Stakeholders

Several stakeholder groups are affected by surveillance pricing policies. Consumers are the most directly impacted because they may be charged different prices based on information collected about them. Most consumers are unaware of how much personal data companies gather or how that information may influence pricing decisions. As a result, consumers have a strong interest in transparency, privacy protection, and fair business practices.

Retail businesses are another major stakeholder group. Companies invest heavily in data analytics and artificial intelligence because these technologies can improve efficiency and increase profits. Businesses argue that advanced pricing systems let them respond better to market conditions and customer demand. However, these companies must also address concerns about fairness and public trust.

Technology companies also play an important role. Many surveillance pricing tools are developed by firms that specialize in artificial intelligence, data analytics, and consumer tracking technologies. These organizations have a financial interest in expanding the use of data-driven decision-making systems.

Government agencies and regulators enforce consumer protection laws and ensure markets operate fairly. Agencies such as the Federal Trade Commission may be required to investigate whether surveillance pricing practices are deceptive or harmful to consumers. Lawmakers also have an interest in determining whether new regulations are necessary.

Privacy advocates and consumer rights organizations represent another important stakeholder group. These organizations generally support stronger oversight of personal data collection and greater transparency in how companies use consumer information. Many of these groups have raised concerns that surveillance pricing could create unfair economic outcomes for consumers.

Finally, information technology and cybersecurity professionals are stakeholders because they help design, implement, and secure the systems used to collect and process consumer data. As technology continues to evolve, these professionals will play an increasingly important role in ensuring that organizations use data responsibly and ethically.

Personal Assessment

In my opinion, surveillance pricing raises legitimate concerns that deserve additional attention from policymakers. Businesses have always attempted to understand consumer behavior. However, artificial intelligence allows organizations to process and analyze data on a scale that was not previously possible.

I do not believe that all forms of dynamic pricing are inherently unfair. Industries such as airlines and hotels have relied on changing prices for many years. However, there is an important difference between pricing that responds to market conditions and pricing that relies on extensive personal surveillance.

Consumers should understand when their data is being used to influence prices. They should also have access to clear explanations of what information is collected and how it affects business decisions. Transparency is essential if the public is expected to trust AI-driven systems.

As someone pursuing a career in cybersecurity, I view this issue as both a technical and ethical challenge. Information professionals have a responsibility to secure personal data. They also have a responsibility to ensure that data is used in ways that are fair, transparent, and consistent with societal expectations.

Implications for Information Professionals and Society

The surveillance pricing debate has important implications for information professionals. Organizations increasingly rely on data-driven systems to support business decisions. As a result, cybersecurity professionals, data analysts, privacy officers, and AI specialists must understand the legal and ethical consequences of those systems.

Information professionals may be required to develop stronger data governance policies. They may also need to audit AI systems and evaluate whether pricing algorithms create unfair outcomes. Regulatory compliance will likely become more important as lawmakers develop new rules governing consumer data.

For society, surveillance pricing may influence public trust in both businesses and artificial intelligence. If consumers believe companies use personal information to exploit them financially, confidence in emerging technologies could decline. Clear regulations and transparency requirements may help balance innovation with consumer protection.

Conclusion

AI-driven surveillance pricing is an emerging information policy issue that sits at the intersection of privacy, consumer protection, artificial intelligence, and information ethics. Legislative efforts such as the Stop Price Gouging in Grocery Stores Act of 2026 demonstrate that policymakers are

beginning to address concerns about how personal information is used in pricing decisions (Stop Price Gouging in Grocery Stores Act of 2026, 2026).

The debate highlights the growing importance of responsible data governance in modern society. Consumers, businesses, policymakers, and information professionals all have a stake in the outcome. As artificial intelligence continues to evolve, policymakers must ensure that innovation remains transparent, ethical, and fair. Surveillance pricing will likely remain a significant information policy issue for years to come.

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